

SURGE IN TAX FILINGS

- 72.8 million ITRs filed for AY 2024-25 till July 31, 2024
- 5.85 million first-time filed ITRs till July 31, 2024

AY	Due date	No. of Returns filed (mn)
2020-21	10/01/21	57.8
2021-22	31/12/21	57.7
2022-23	31/07/22	58.3
2023-24	31/07/23	67.7
2024-25	31/07/24	72.9

SOURCE PIB

SHIFTING PREFERENCES

- Many young professionals favour the new tax regime as they often lack significant investments or assets

Old Rates of New Regime		Revised Rates of New Regime	
Income Slab for FY23 (₹)	Tax Rate	Income Slab for FY25 (₹)	Tax Rate
0-2.5 lakh	Nil	0-3 lakh	Nil
2.5-5 lakh	5%	3-7 lakh	5%
5-7.5 lakh	10%	7-10 lakh	10%
7.5-10 lakh	15%	10-12 lakh	15%
10-12.5 lakh	20%	12-15 lakh	20%
12.5-15 lakh	25%	Above 15 Lakh	30%
Above 15 lakh	30%	—	—

SOURCE NANGIA ANDERSEN

instruments. Traditional vehicles like PPF and ELSS may witness reduced participation, but the core objectives remain essential. “While there may be a shift away from traditional tax-saving instruments, the core objectives—like retirement planning, saving for children’s education, purchasing property—remain priorities on a case-to-case basis,” says Sirwalla.

Under the NTR, one can claim a deduction for NPS under Section 80CCD (2) only for the employer’s contribution. The deduction for em-

ployer’s contributions to the NPS has been increased, providing further incentives. “Employees having employer contribution to NPS from FY25 will tend to benefit more from the new regime as the deduction for such contribution has been enhanced to 14% as compared to 10% in the old tax regime,” says Sirwalla.

BUDGET 2025-26

The new regime, introduced in 2020, found few takers initially. It was in Budget 2023 that it underwent substantial reforms to enhance its

appeal. Apart from increasing the standard deduction to ₹75,000, a tax exemption was introduced for those earning more than ₹7 lakh annually. The number of slabs was reduced to five from six. Additionally, there was an increase in the basic exemption limit from ₹2.5 lakh to ₹3 lakh.

Given the government’s focus on simplifying taxation and encouraging migration to the NTR, further reforms are anticipated. Poorva Prakash, Partner at management consulting firm Deloitte India, suggests increasing the basic exemption limit and reducing the number of tax slabs further to make the system more competitive with countries like Hong Kong and Singapore.

Further enhancements to the standard deduction could compensate for the loss of benefits like HRA and property deductions. “To further encourage people to move from the old tax regime, the government may consider a further increase in the standard deduction. This could help compensate employees for the loss of benefits they were eligible for under the old regime, such as HRA exemption and loss for self-occupied property,” says Prakash.

The NTR represents a significant shift in India’s taxation landscape. While its appeal continues to grow, further reforms aimed at aligning taxpayer expectations with economic goals could solidify its position as the preferred choice. By introducing further incentives, the government has the potential to transform the new tax regime into a universally accepted model of taxation, ensuring a smoother transition for all taxpayers while maintaining fiscal stability. With media reports suggesting a potential revamp and further simplification of the Income Tax Act, 1961, all eyes are now on Budget 2025! **BT**

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